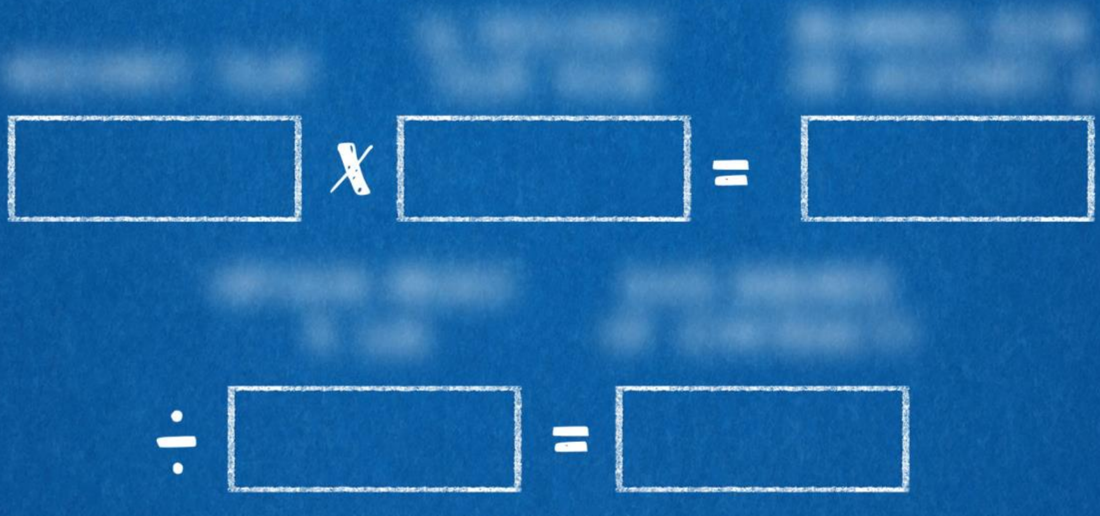
PROFITS RUN PRESENTS

SAFE TRADE

OPTIONS FORMULA



THE 5-PART FORMULA THAT MAKES EVERY TRADE A ***SAFE*** TRADE

BILL POULOS

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Dear Trader,

After having traded the markets for over 40 years, and after having taught over 100,000 regular people from all around the world how to become better traders since 2001, I have developed a simple formula that you can begin to use immediately that will safeguard your account every time you place a trade.

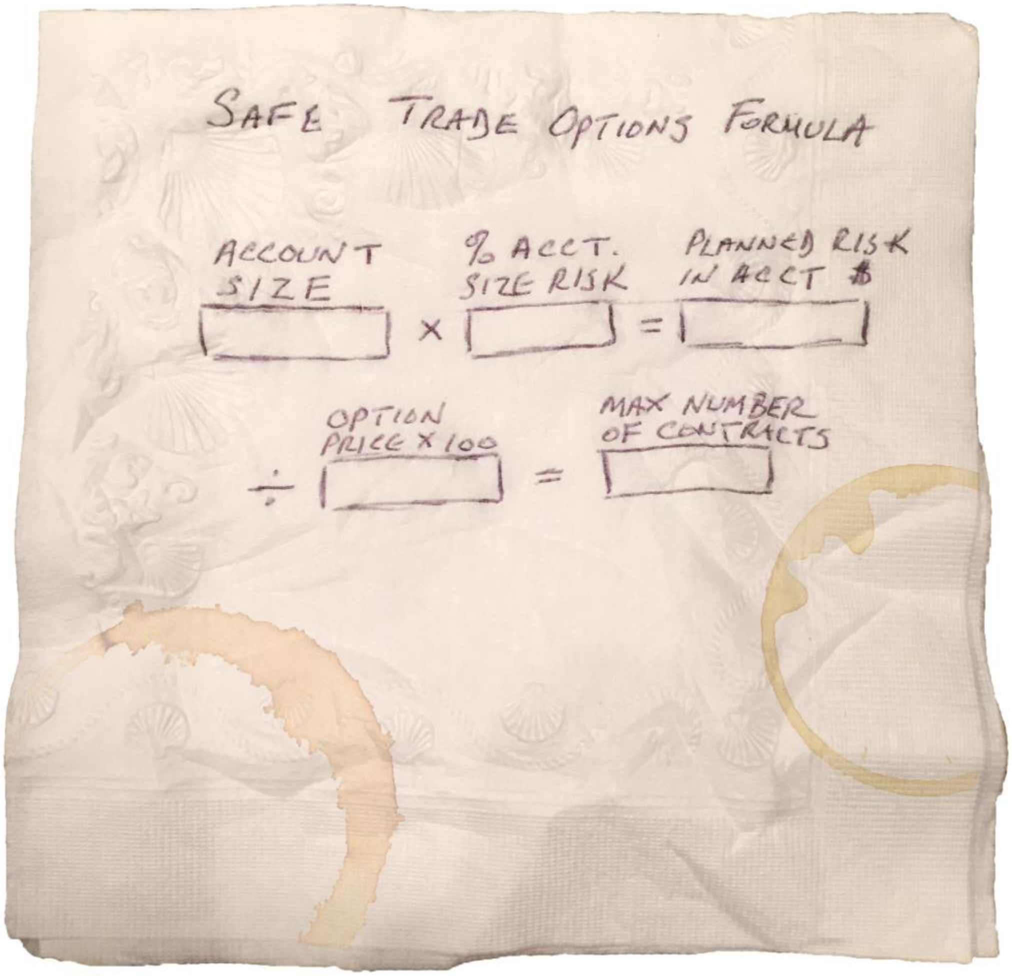
The formula is very simple, but it's very powerful. Without this formula, you can get into a lot of trouble like a lot of options traders do, but, with this formula, you can make every trade you place a safe trade.

What's a safe trade? It's one that will never wipe out your account if it ends up losing. It keeps your account intact so you can go on to the next trade to win another day. But at the same time, when coupled with a good trading method, this formula allows you to go after as much profit potential as the market will allow.

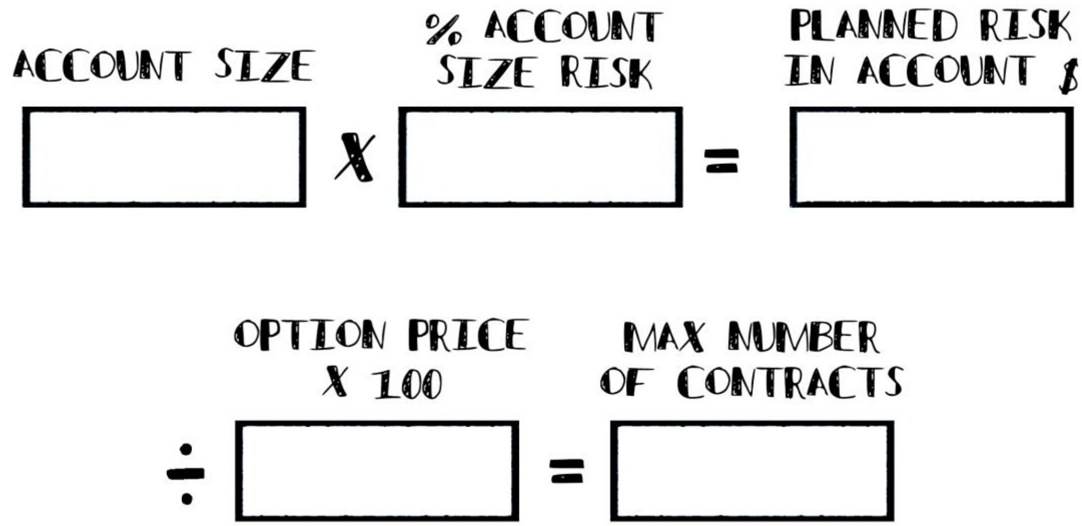
Once you start using this formula, I don't think you'll never trade without it again. It's that powerful.

I kind of intuitively began using a version of this formula years ago, and then one day I wrote it out for the first time on a napkin while I was at lunch with my son, Greg, as I explained it to him.

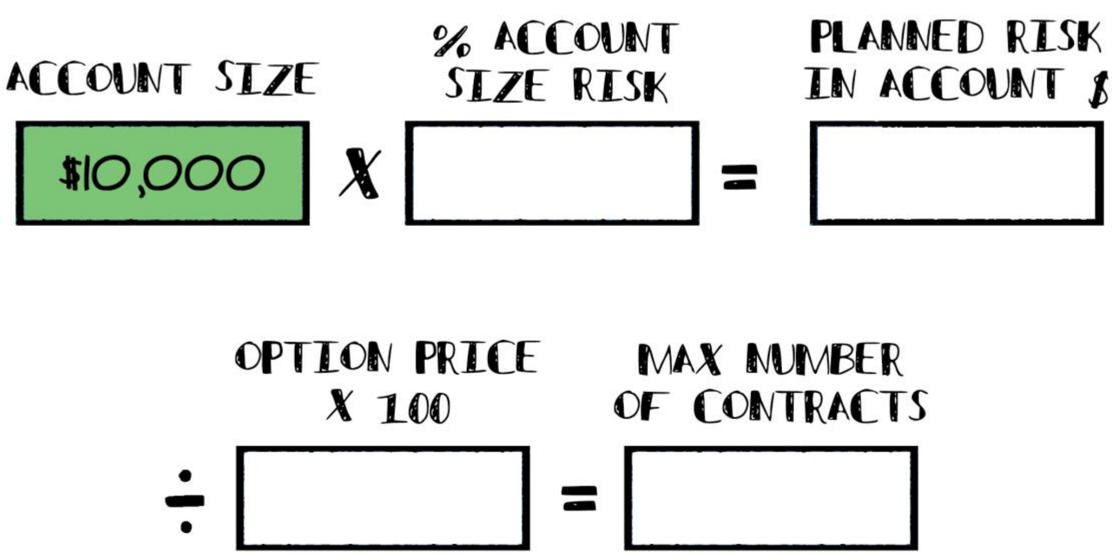
He still has the napkin all these years later. Here’s a picture of it:



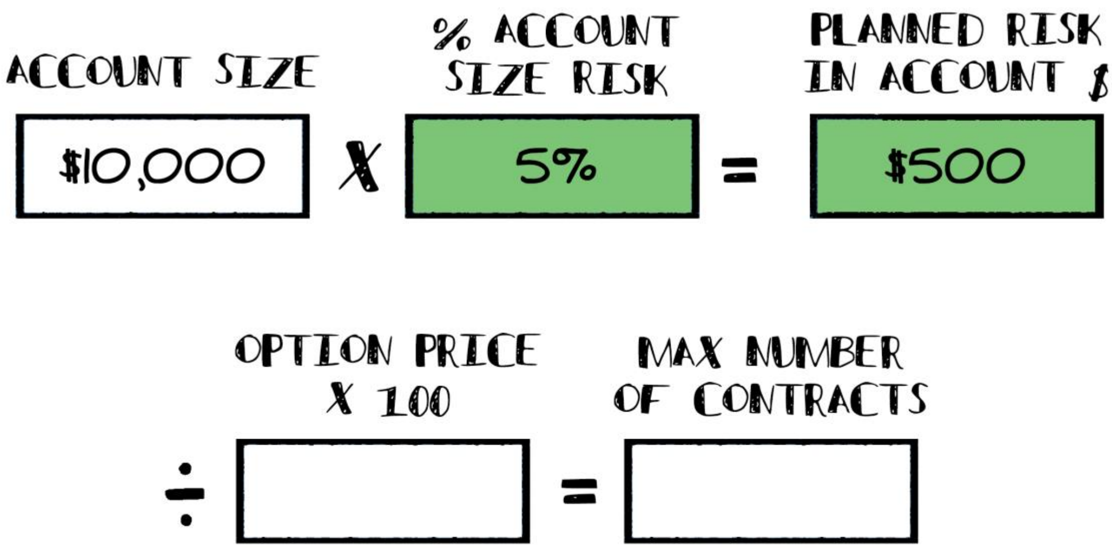
And here’s the same formula in an easier-to-read version:



I'm going to go through the formula with an example of an account size of $10,000. You might have a smaller account size, you might have a larger account size, but I think you'll get the idea.

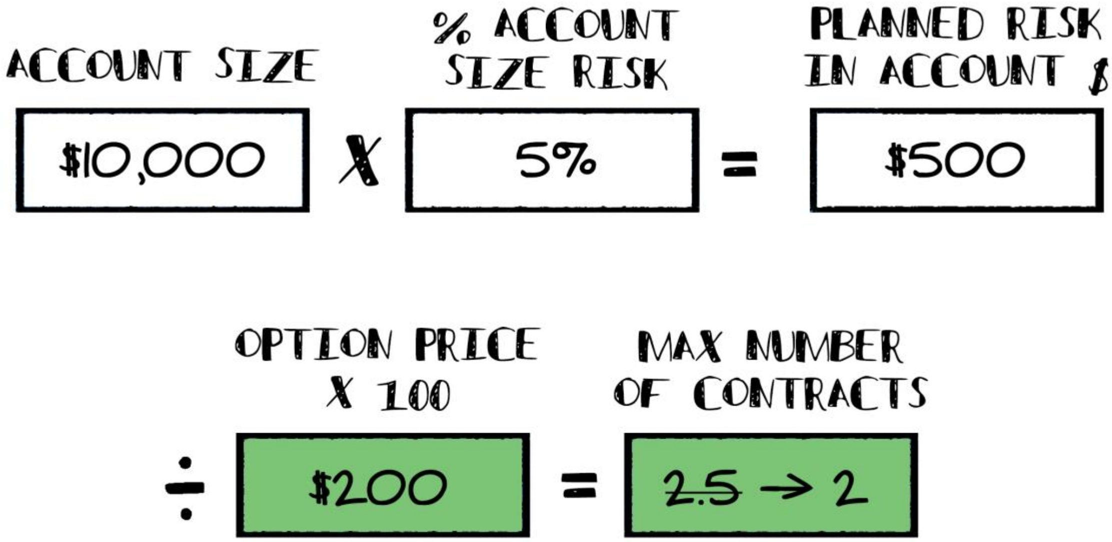


The first thing we want to do is determine the percent of our account size we can risk on one trade. Now, for smaller accounts like $10,000 and less, you can risk up to 5% of your account size on any one trade. For accounts larger than that, up to 2%. For really large accounts, let's say over $100,000, up to 1%. Since our account is $10,000 in this example, we'll use 5%.



So 5% of $10,000 is $500. That's the **planned risk** in your account balance. In other words, if you lost on this trade, the most you would lose is $500. You're not going to win on every trade, so you've got to plan accordingly.

Next, we need to determine how many option contracts can you buy. Well, it depends now on the price of option. Let's say the price of the option is $2. Since each option controls 100 shares of a stock or ETF, you multiply that by 100 and that's your cost per option contract: $200.



If your planned risk is a maximum of $500, you divide the $200 into $500, and you get 2.5. But since you can't trade in fractions of a contract, you always round down. In this example, the maximum number of contracts you can trade is 2.

Now that doesn't sound like a lot, especially to beginning traders. They say, "Well, gee. With a $10,000 account I can buy more than $500 worth of option contracts. I could buy 10 of them. I could buy even more."

That's when you start to get into big trouble, because you've got to plan for risk first and then go after profits. There's no need to go after home runs. There's plenty of opportunity, and you're going to win over a series of trades if you use this formula with a good trading method.

Just be patient and be prudent in the amount of risk you take, and you'll never get into trouble.

Good Trading,

Bill Poulos
Co-founder, Profits Run

Do NOT Place Another Trade Until You See This 1 Sneaky Technique...

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